

After spending hours in the market back-testing this oscillator, I have observed a particular pattern that gives frequent signals and helps traders to be profitable. In this chapter, I will teach you a strategy using Williams %R and a Simple Moving Average to trade in the financial markets.

Before we begin with the strategy, you should know that no indicator alone can help you become a profitable trader.



Williams %R close 14     

This is why I have used a 14-period Simple Moving Average along with the Williams %R.



Williams %R close 14     

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SMA 14 close 0 SMA 5     

The Simple Moving Average with a look back period of 14 days represents the average closing price of the previous 14 days. The Moving Average line can act as a dynamic support and resistance for the price.

The price above 14 days SMA represents an uptrend. If the price is below the SMA, it is said that the market is in a downtrend.

